

and a risk of about 3-4. The risk is low because you have real property backing up your money.

The key here is the value of the property securing the mortgage. I would suggest that any investment in a first mortgage be backed with property valued at 2-3 times the outstanding loan.

If you are looking for long-term income, in my opinion, a first mortgage is a good way to invest. If you're selling property that you own debt-free, you might consider taking a first mortgage for the amount you were going to invest for income purposes. You can earn a higher rate of interest with less risk than virtually any other investment.

**CORPORATE BONDS:** A corporate bond is a note issued by a corporation to finance its operation. If the corporation defaults, the assets of the entire corporation can be attached. The liability of this type of investment is that if the corporation files for bankruptcy, your bond is included in the bankruptcy proceedings along with all the other corporate debts.

Some bonds pay a rate of 2-3 percent higher than a CD or T-bill. The amount of return depends on the rating of the company issuing the bond. Bonds are rated from a low of "C" to a high of "AAA." The higher the grade of the bond, normally the lower the rate of return, but also the lower the risk.

Many investors prefer bonds which generate current income through their business operations, such as utility bonds with utility companies. In the past, utility company bonds have been very stable and predictable. However, many utilities have suffered massive debts from nuclear power station construction, which make them greater risks. In general, most utility bonds are still safe investments.

One liability of any corporate bond is that it is dependent on the success of one company. If that company has a problem, your bond can have a problem. Another negative is that the income is 100 percent taxable. A bond has little chance for growth unless your rate of return is in excess of the current interest rate. I would give corporate bonds an income of 6-8 and a risk of 5-6. The rate of return obviously depends on the